QUICKVIEW

Food

BIMBO A MM

Price
(MXN, as of 23/02/2017)
MXN$47.83

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.936

MARKET CAP. (MXN MN)
224,971

DL VL TRADED (AV. MXN MN)
113.4

TARGET PRICE
P$44 / Var. TP -8.0%

HOLD

*TP Under Review

*TP under revision

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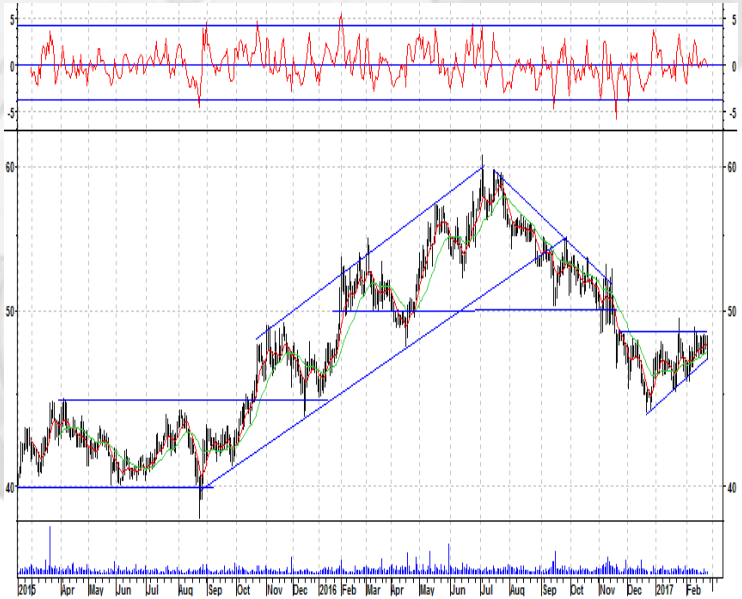
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Q416 Financial Report

Favorable report - BIMBO's Q416 results presented a strong growth in the main operating indicators, which exceeded our projections. Therefore, we anticipate stock's price will rise in the short term.

Net profit falls - BIMBO's revenues and EBITDA increased 16% and 24% YoY, respectively, due to the foreign exchange benefit on the North American and Latin American operations, the acquisition of Donuts Iberia in Europe, and a favorable performance in Mexico. However, net income declined 71% YoY thanks to a higher-than-expected tax rate.

Lower leverage - The net debt to EBITDA ratio was 2.8x, slightly lower than the 2.9x of the previous quarter.



	Q416	Q415	Dif (%)
Sales	68,862	59,519	15.7%
Operating Income	3,509	2,812	24.8%
EBITDA	8,618	6,950	24.0%
Net Income	86	301	-71.4%

	Q416	Q415	Dif bp
Operating Mgn. (%)	5.1%	4.7%	37
EBITDA Mgn. (%)	12.5%	11.7%	84
Profit Mgn. (%)	0.1%	0.5%	-38

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

Multiples	2013	2014	2015	2016
P/E	42.8x	51.3x	41.8x	37.5x
P/BV	4.1x	3.8x	3.6x	3.1x
EV/EBITDA	14.3x	15.3x	11.9x	10.0x

Estimates (MXN mill.)	2013	2014	2015	2016
Revenues	176,045	187,777	219,186	252,141
EBITDA	15,738	16,267	23,369	29,297
EBITDA Margin (%)	8.9%	8.7%	10.7%	11.6%
Net Income	4,422	3,729	5,172	5,899
Net Margin (%)	2.5%	2.0%	2.4%	2.3%
EPS	0.94	0.79	1.10	1.25
BVPS	9.70	10.84	12.75	15.19

Source: Interacciones Research and the company

Q416 Financial Report

Sales supported by the exchange rate benefit. BIMBO's revenues increased 16% YoY (compared to our projection of 11% YoY), supported by the depreciation of the Mexican peso, which boosted sales of the North American operation by 13% YoY and those of Latin America by 25% YoY. Volumes also improved in most Latin American countries, mainly in Peru, Chile and the central region. Europe's revenues rose more than 100% YoY as a result of the acquisition of Donuts Iberia. In Mexico they increased 10% YoY due to higher volumes in most categories.

Higher gross margin due to lower raw materials. BIMBO's gross margin improved marginally to 53.9% in Q416 (vs. our estimate of 53.5%). North America's and Europe's profitability was higher thanks to the price reduction in raw materials. In Mexico, the margin declined as a result of the exchange impact. In Latin America, this indicator decreased on lower volumes and the inflationary environment.

EBITDA margin improves in Mexico and Europe. The consolidated EBITDA margin expanded 80 bp to 12.5% (vs. 11.8% E). Mexico benefited from operational efficiencies in marketing and distribution, while Europe generated positive EBITDA. This was offset by a negative EBITDA generation in Latin America due to higher operating expenses, mainly related to the opening of the plant in Córdoba, Argentina. Consolidated EBITDA grew 24% YoY (vs. our projection of 14% YoY).

Net profit affected by higher taxes. Net income decreased 71% YoY to MXN81 million (below our expectations), mainly due to a higher than expected tax rate of 84.4% in the quarter. The company mentioned in its press release that this was attributed to the cancellation of deferred taxes in Brazil, greater profitability in its North American operations and a higher taxable base.

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BIMBO A: Historic Target Price(s) & Recommendation(s)

Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	**P$44.00**	**P$44.00**	**P$220.00**
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*